Governing Critical Minerals in a Multipolar World: the EU-China Regulatory Divergence and Possible Coordination

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Abstract:

In response to growing concerns over supply chain security and strategic autonomy in critical minerals, both the European Union and China have developed legal and policy frameworks governing the mining and processing of, and trade and investment in, these resources. While these frameworks pursue broadly similar objectives, including resource security, sustainability and resilience, they diverge in regulatory orientation, institutional design and the use of instruments such as export controls, investment screening and ESG standards. This article undertakes a comparative analysis of the EU and China's critical minerals governance regimes and identifies the resulting legal and normative divergence. It further examines how these regimes interact with existing rules of international trade and investment law, focusing on the areas where legal tensions are most likely to arise. The article reveals growing frictions in critical minerals governance and proposes a pragmatic gradualist model of coordination between the EU and China. This approach moves away from mandatory harmonization and instead emphasizes existing bilateral dialogues, WTO-based transparency initiatives, and non-binding soft-law mechanisms to foster institutional alignment and stabilize global supply chains without compromising regulatory sovereignty.

Keywords:

Critical minerals, strategic partnership, investment screening, export controls, ESG standards, WTO, European Union, China

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INTRODUCTION

Critical minerals[1], such as lithium, cobalt, nickel, graphite and rare earths, are indispensable for clean energy technologies and advanced semiconductor manufacturing and have a wide range of defense applications. The global race to secure critical minerals has rapidly transformed from a technical supply chain issue into a central concern of economic security, strategic autonomy, and legal regulation. Both the European Union (EU) and China stand at the center of this transformation, not only as major consumers of, but also as significant participants in global trade and investment in, critical minerals. Their policies, therefore, carry far-reaching implications for the structure and governance of international critical minerals supply chains.

In recent years, the EU and China have developed comprehensive yet distinct legal frameworks to govern critical minerals. The EU's integrated regime, anchored in the Critical Raw Materials Act[2], sets binding value-chain targets, limits over-reliance on single suppliers and links resource security with sustainability, industrial policy and trade instruments. This approach is complemented by instruments such as the Corporate Sustainability Due Diligence Directive (CSDDD)[3] and the Batteries Regulation[4], as well as strategic partnerships and diversification initiatives beyond the Union. By contrast, China's framework, anchored in the Rare Earth Management Regulations[5], the Mineral Resources Law[6] and export-control measures[7], asserts

[1] In the relevant legislation and international trade agreements concluded by the European Union, such resources are usually referred to as 'critical raw materials'. To ensure consistency in terminology throughout this article, the term 'critical minerals' is uniformly adopted.

[2] Regulation (EU) 2024/1252 of the European Parliament and of the Council of 11 April 2024 establishing a framework for ensuring a secure and sustainable supply of critical raw materials and amending Regulations (EU) No 168/2013, (EU) 2018/858, (EU) 2018/1724 and (EU) 2019/1020 (OJ L 1252 3.5.2024, p.1) <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A02024R1252-20240503>.

[3] Directive (EU) 2024/1760 of the European Parliament and of the Council of 13 June 2024 on corporate sustainability due diligence and amending Directive (EU) 2019/1937 and Regulation (EU) 2023/2859 (OJ L 1760 5.7.2024, p.1) <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A02024L1760-20250417>.

[4] Batteries Regulation (EU) 2023/1542 of the European Parliament and of the Council of12 July 2023 concerning batteries and waste batteries, amending Directive 2008/98/EC and Regulation (EU) 2019/1020 and repealing Directive 2006/66/EC (OJ L 191, 28.7.2023, p.1) <https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX%3A02023R1542-20230728>.

[5] The Rare Earth Management Regulations (State Council Order No. 785), effective on 1 October 2024 <https://www.gov.cn/gongbao/2024/issue_11466/202407/content_6963172.html>.

[6] Mineral Resources Law of the People' s Republic of China (2024 revision)，revised at the 12th Session of the Standing Committee of the 14th National People's Congress on 8 November 2024 and effective on 1 July 2025 <http://www.npc.gov.cn/c2/c30834/202411/t20241108_440885.html>.

[7] For example, in July 2023, China imposed export restrictions on gallium, germanium, and antimony, minerals critical to semiconductor manufacturing. In 2025, these measures were expanded to encompass additional minerals, including tungsten, tellurium, bismuth, indium, molybdenum, as well as seven heavy rare earth elements, and to extend export controls to technologies related to rare earths and certain downstream products

resource sovereignty through production quotas, whole-chain traceability, licensing requirements and strategic stockpiling.

Placed side-by-side, these regimes reveal two competing logics: the EU emphasizes diversification, transparency and sustainability, while China prioritizes state control and security. Together, they shape the legal conditions under which lithium, rare earths, graphite and related inputs move across borders, most visibly at the trade interface where EU import requirements and Chinese export controls meet. It is at this interface that frictions have deepened, as the two systems, shaped by different economic realities and driven by distinct environmental and security rationales, interact with and at times challenge international economic law. This is particularly so where national measures conflict with obligations under the law of the World Trade Organization (WTO), with commitments under existing bilateral investment treaties (BITs) between China and EU Member States, or with obligations under a future EU-China investment agreement, similar to the stillborn EU-China Comprehensive Agreement on Investment (CAI). Against this backdrop, this article addresses three interrelated questions. First, how do the EU and China differ in their domestic governance of critical minerals, and what forms of legal and normative divergence arise from these approaches? Second, to what extent do these regulatory regimes generate tension under existing rules of WTO law and international investment law? Three, through which legal or institutional pathways might EU-China coordination in this contested domain be pursued?

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exported to foreign countries. See Announcement No. 23 [2023] of the Ministry of Commerce and the General Administration of Customs on the Implementation of Export Controls on Items Related to Gallium and Germanium, 3 July 2023; Announcement No. 39 [2023] of the Ministry of Commerce and the General Administration of Customs Announcement on the Optimization and Adjustment of Temporary Export Control Measures on Graphite Items, 20 October 2023; Announcement No. 10 [2025] of the Ministry of Commerce and the General Administration of Customs Decision on the Implementation of Export Controls on Items Related to Tungsten, Tellurium, Bismuth, Molybdenum, and Indium, 4 February 2025; Announcement No. 18 [2025] of the Ministry of Commerce and the General Administration of Customs Decision on the Implementation of Export Controls on Certain Medium and Heavy Rare Earth-Related Items, 4 April 2025; Announcement No. 62 [2025] of the Ministry of Commerce Decision on Imposing Export Controls on Technologies Related to Rare Earths, 9 October 2025; Announcement No. 61 [2025] of the Ministry of Commerce Decision on Imposing Export Controls on Certain Rare Earth-Related Items to Foreign Countries, 9 October 2025. Note that the measures announced on 9 October 2025 were subsequently suspended for one year (until 10 November 2026) pursuant to an understanding reached between China and the United States during the Xi–Trump bilateral meeting held on 30 October 2025 on the sidelines of the APEC Leaders' Meeting in Busan, South Korea. See MOFCOM and GACC Announcement No. 70 of 2025: Decision on the Suspension of the Implementation of MOFCOM and GACC Announcements No. 55, 56, 57 and 58 of 2025, and MOFCOM Announcements No. 61 and 62 of 2025 (7 November 2025) <https://www.mofcom.gov.cn/zwgk/zcfb/art/2025/art_b1ec77dd3f0d4762952904df7cdaadec.html>

Both the EU and China have established highly institutionalized strategic frameworks for critical minerals, which are closely integrated into their respective national security agendas, green transition strategies and global supply chain policies. The existing legal and policy frameworks governing critical minerals in both jurisdictions reflect the underlying governance logic and normative principles that shape these approaches.

The EU: Diversification and Sustainability

The EU is, and will remain, heavily dependent on external sources for critical minerals.[8] At present, for example, its demand for rare earths is projected to increase sixfold by 2030 and sevenfold by 2050, while lithium demand is expected to rise twelvefold by 2030 and twenty-onefold by 2050.[9] Yet, domestic mining within the EU is constrained by stringent environmental regulations and persistent public opposition, as related authorization and environmental assessment procedures are often lengthy and complex.[10] Meanwhile, resource nationalism is gaining momentum among exporting countries, as illustrated by Indonesia's nickel export ban[11] and Chile's plans to nationalize its lithium sector.[12] Combined with China's dominant position in global mining and processing, these developments significantly heighten supply security risks for the EU.[13] In response, the EU has established a

[8] Note that both the EU and China are major importers of critical minerals, but with different patterns. China mainly imports raw ores and primary minerals for domestic deep processing to support high-end manufacturing, while the EU imports both raw minerals and a large amount of processed and intermediate mineral products. See IISD Report on International Trade and Investment Agreements and Sustainable Critical Minerals Supply (April 2025), at 9-10 <https://www.iisd.org/system/files/2025-04/trade-investment-agreements-critical-minerals.pdf>.

[9] European Commission, 'Critical Raw Material Act (CRMA)' <https://single-market-economy.ec.europa.eu/sectors/raw-materials/areas-specific-interest/critical-raw-materials/critical-raw-materials-act_en>. The strategic rationale underpinning the EU's raw materials policy is also articulated in the 2024 Draghi Report on European competitiveness, which identifies critical raw materials as a structural vulnerability in the Union's industrial model. See the Draghi Report: The Future of European Competitiveness, Part B: In-depth analysis and recommendations, Chapter 2 Critical raw materials (September 2024), at 45 <https://commission.europa.eu/topics/competitiveness/draghi-report_en>

[10] The EU's low level of domestic mining cannot be explained by a uniform shortage of critical mineral resources. While the EU has potential rare earth reserves and a relatively substantial lithium reserves, these remain largely underexploited and have not yet translated into industrial-scale supply. For other minerals, such as nickel and cobalt, the EU's domestic reserves are relatively limited. See the Draghi Report, ibid, at 53-54.

[11] Indonesia imposed a ban on nickel ore exports effective in January 2020, prompting the EU to file a WTO complaint. In November 2022, the WTO panel upheld all EU claims, ruling that Indonesia's export ban violated GATT obligations. See Panel Report, Indonesia – Measures Relating to Raw Materials, WT/DS592R, dated 30 November 2022 (appeal pending). Also see David Guberman, Samantha Schreiber, Anna Perry, 'Export Restriction ono Minerals and Metals: Indonesia's Export Ban of Nickel'<https://www.usitc.gov/publications/332/working_papers/ermm_indonesia_export_ban_of_nickel.pdf >.

[12] Juan Carlos Jobet, Tom Moerenhout, Diego Rivera Rivota, 'Chile's State-Centric Lithium May Deter Investment'<https://www.energypolicy.columbia.edu/chiles-state-centric-lithium-policy-may-deter-investment/>.

[13] China possesses sizable reserves of key minerals: about one-tenth of global lithium reserves, nearly one-third of graphite, almost half of rare earth elements, and one-fifth of zinc. It also accounts for 22% of mined lithium, 61% of rare earth elements, and 87% of natural graphite. China's dominance is most evident in refining, as it

comprehensive framework for critical minerals, structured around three interlinked strategies: an internal strategy, an external strategy, and cooperation with allies.

The internal strategy focuses on ensuring a secure, resilient and sustainable supply of critical minerals. Its core legal instrument is the Critical Raw Materials Act (CRMA)[14], which entered into force on 23 May 2024. It is closely linked to the Net-Zero Industry Act[15], which seeks to accelerate clean-technology manufacturing as part of the Green Deal Industrial Plan.[16] The CRMA establishes a unified legal framework for identifying, securing and regulating access to critical minerals, which it subdivides into critical raw materials (CRMs) and strategic raw materials (SRMs), and lists the relevant materials in annex.[17] The CRM and SRM lists are based on supply-risk and economic-importance criteria. These lists shall be regularly reviewed and, if necessary, updated by the European Commission.[18] The CRMA also sets supply autonomy targets for 2030: (1) at least 10% of annual consumption to be extracted within the EU; (2) EU processing capacity to reach at least 40% of annual consumption; (3) 25% consumption sourced from recycling; and (4) no more than 65% of any SRMs imported from a single third country.[19] To achieve these objectives, the CRMA introduces a regulatory toolkit: (1) Member States must adopt national exploration programmes[20]; (2) carry out mineral mapping[21]; (3) provide for a fast-track approval process for 'Strategic Projects'[22]; and (4) establish a risk-monitoring and risk-reporting system to submit supply-chain data to the European Commission.[23] Notably, to accelerate domestic mining, processing, and recycling, the CRMA grants 'Strategic Projects' a priority status.[24] Such projects may, under certain conditions, be considered to serve an overriding public interest, thereby allowing for derogations from specific environmental requirements.[25] Once a mining project is designated as

processes 44% of copper, 70–75% of both lithium and cobalt, and over 90% of rare earth elements and battery-grade graphite. See the International Energy Agency's (IEA), Global Critical Minerals Outlook 2025, at 271<https://iea.blob.core.windows.net/assets/ef5e9b70-3374-4caa-ba9d-19c72253bfc4/GlobalCriticalMineralsOutlook2025.pdf>.

[14] Regulation (EU) 2024/1252 (n 2).

[15] Regulation (EU) 2024/1735 of the European Parliament and of the Council of 13 June 2024 on establishing a framework of measures for strengthening European's net-zero technology manufacturing ecosystem and amending Regulation (EU) 2018/1724 (OJ L 1735 28.6.2024, p.1) <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A02024R1735-20240628>.

[16] Communication from the Commission to the European Parliament, the European Council, the Council, the European Economic and Social Committee and the Committee of the Regions, A Green Deal Industrial Plan for the Net-Zero Age, COM (2023) 62 final, Brussels (1 February 2023) <https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX%3A52023DC0062>.

[17] Regulation (EU) 2024/1252, ANNEX 1 Strategic raw material, Section 1 List of strategic raw materials; and ANNEX 2 Critical raw material, Section 1 List of critical raw materials.

[18] ibid, Article 3 and 4.

[19] ibid, Article 5.

[20] ibid, Article 19.

[21] ibid, Article 19 (2) (a) and (6).

[22] ibid, Article 11.

[23] ibid, Articles 21 and 22.

[24] ibid, Article 10 (2).

[25] ibid, Article 12 and recital 27.

'strategic', it is entitled to a fast-track approval process[26], enhanced access to financing opportunities[27] and institutional support in securing connections with potential buyers.[28] As of early 2026, the EU had approved 60 such projects, 47 within the Union[29] and 13 abroad[30], covering 14 critical minerals across mining, processing, and recycling.[31] These projects mark the first tangible outcome of the CRMA.

Two 'horizontal' instruments reinforce the CRMA, namely the Corporate Sustainability Due Diligence Directive (CSDDD)[32] and the Batteries Regulation.[33] Once fully applied, the CSDDD will require large EU and non-EU companies to identify and address human-rights and environmental risks across their operations and value chains, promoting responsible corporate governance and sustainable business practices. The Batteries Regulation sets minimum recycled content for cobalt, lead, lithium and nickel in new batteries[34], alongside material-recovery targets for 2027 and 2031, and sector-specific due diligence obligations.[35] Collectively, these measures enhance the resilience and sustainability of EU supply chains, while simultaneously operating as *de facto* market-access conditions, compelling foreign companies to meet EU regulatory standards to retain access to the EU market.[36]

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[26] The CRMA reduces the length of a permit approval process from an average of 10-15 years to 27 months for Strategic Projects involving mining and 15 months for Strategic Projects involving only processing or recycling. See ibid, Article 11 (1).

[27] ibid, Article 16.

[28] ibid, Article 17.

[29] For the specific information on these 47 Strategic Projects, see International Energy Agency (IEA), 'Strategic Projects of the CRMA' <https://www.iea.org/policies/26758-strategic-projects-of-the-crma>.

[30] The 13 Strategic Projects outside the EU are spread across two groups of countries: seven are based in Canada, Greenland, Kazakhstan, Norway, Serbia, Ukraine, and Zambia, states with which the EU has established Strategic Partnerships on raw materials value chains, while the others are located in Brazil, Madagascar, Malawi, New Caledonia, South Africa, and the United Kingdom. See European Commission, 'Commission selects 13 Strategic Projects in third countries to secure access to raw materials and to support local value creation' <https://ec.europa.eu/commission/presscorner/detail/en/ip_25_1419>.

[31] The second round of applications for Strategic Projects closed in January 2026, but no additional projects had been announced at the time of writing. <https://single-market-economy.ec.europa.eu/news/strategic-projects-critical-raw-materials-gain-momentum-second-selection-round-potential-funding-and-2026-01-19_en>

[32] Directive (EU) 2024/1760 (n 3) entered into force on 25 July 2024, but its substantive obligations apply only gradually. For EU companies, the Directive applies from 26 July 2027, 2028 and 2029 respectively, depending on employee and turnover thresholds; for non-EU companies, the same dates apply on the basis of equivalent EU-generated turnover thresholds, irrespective of employee numbers. See Directive (EU) 2024/1760, Article 2 and 37.

[33] Batteries Regulation (EU) 2023/1542 (n 4) entered into force on 17 August 2023. The application has now been postponed to 18 August 2027.

[34] Batteries Regulation (EU) 2023/1542 (n 4), Article 8 (2) and (3).

[35] ibid, ANNEX XII, Part C Targets for recovery of material. In parallel, the Carbon Border Adjustment Mechanism (CBAM) functions as an indirect regulatory tool, exerting implicit impacts on third-country exporters of carbon-intensive goods, including a range of raw materials closely tied to critical mineral value chains. Note that the CBAM has entered into full application on 1 January 2026. See Regulation (EU) 2023/956 of the European Parliament and of the Council of 10 May 2023 establishing a carbon border adjustment mechanism (OJ L 130, 16.5.2023, pp. 52-104) <https://eur-lex.europa.eu/eli/reg/2023/956/oj/eng>.

[36] Laurie Durel, 'Border carbon adjustment compliance and the WTO: the interactional evolution of law' (2024) 27 Journal of International Economic Law 18; Talal Abdulla AI-Emadi, et al, 'The EU corporate sustainability due diligence directive: implications and the Qatari case study' (2025) 18 Journal of World. Energy Law & Business 1.

Externally, the EU has strengthened its trade-defense and investment strategies. It increasingly targets products incorporating critical minerals through anti-dumping and countervailing measures[37], and actively uses WTO dispute settlement against export restrictions by resource-rich countries.[38] Notable examples include disputes concerning China's raw materials and rare earth export limits (DS395, DS432, DS509)[39] and the dispute regarding Indonesia's nickel export ban (DS592).[40] As free trade agreements (FTAs) increasingly incorporate provisions specific to critical minerals[41], the EU also leverages its power in FTA negotiations to diversify and secure access to these essential inputs. Recent agreements, such as the Interim Trade Agreement (ITA) with Chile (2025)[42] and the EU–Mexico Modernized Global Agreement (2025)[43], contain chapters on energy and raw materials, including critical minerals. The EU-Mercosur Partnership Agreement (EMPA) (2026)[44] enhances EU access to inter alia critical minerals by obliging Mercosur members to eliminate export taxes on raw materials and industrial goods, or bind such export duties at zero tariff levels.[45] By contrast, the EU–India FTA (2026) does not include an explicit chapter

[37] For example, in November 2025, the European Commission adopted definitive safeguard measures on imports of manganese and silicon-based alloying elements, and in 2024, it adopted anti-dumping measures on imports of graphite electrode systems from China. See European Commission, '43rd Annual Report from the Commission to the European Parliament and the Council on the EU's Anti-Dumping, Anti-Subsidy and Safeguard activities and the Use of Trade Defense Instruments by Third Countries targeting the EU in 2024, COM (2025) 428 final, Brussels (28 July 2025)' <https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:52025DC0428>. Also see Commission Implementing Regulation (EU) 2025/2351 <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=OJ:L_202502351>.

[38] Victor Crochet, Weihuan Zhou, 'Critical Insecurity? The European Union's Strategy for A Stable Supply of Minerals' (2024) 27 Journal of International Economic Law 147, 153-154.

[39] China-Measures Related to the Exportation of Various Raw Materials (DS395); China-Measures Related to the Exportation of Rare Earths, Tungsten and Molybdenum (DS432); and China-Duties and Other Measures Concerning the Exportation of Certain Raw Materials (DS509). In addition, China's export restrictions on raw materials and rare earths have also been challenged in several WTO disputes initiated by the United States (DS394, DS431, DS508), Mexico (DS398), and Japan (DS433).

[40] DS592 (n 11).

[41] IISD Report (n 8) at iv.

[42] The EU-Chile ITA entered into force on 1 February 2025. See EU-Chile: Text of the Agreement <https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/chile/eu-chile-agreement/text-agreement_en>.

[43] The EU-Mexico Modernized Global Agreement was concluded on 17 January 2025. The chapter on energy and raw materials establishes transparent and non-discriminatory authorization procedures to secure access of EU companies to Mexico's raw materials market, while also eliminating export restrictions and banning export or dual pricing practices that set export prices above domestic prices. See Gisela Grieger, 'Modernization of the trade pillar of the EU-Mexico Global Agreement' European Parliament Research Service (Briefing) (August 2025), at 10 < https://www.europarl.europa.eu/RegData/etudes/BRIE/2025/775888/EPRS_BRI(2025)775888_EN.pdf >.

[44] The EU and Mercosur members (Argentina, Brazil, Paraguay and Uruguay) signed the EMPA on 17 January 2026. Part III of the EMPA substantially strengthens the EU's access to key inputs. See European Commission, 'Proposal for a Council Decision on the conclusion of the EU-Mercosur Partnership Agreement', Explanatory Memorandum (Brussels, 3.9.2025, COM (2025)357 final), at 8 <https://ec.europa.eu/transparency/documents-register/detail?ref=COM(2025)357&lang=en>.

[45] For other trade agreements involving countries with significant reserves of CRMs, see Eline Blot, 'Sourcing critical raw materials through trade and cooperation frameworks' (5 March 2024), Institute for European Environmental Policy (IEEP), at 6 <https://ieep.eu/wp-content/uploads/2024/03/Sourcing-critical-raw-materials-through-trade-and-cooperation-frameworks-IEEP-2024.pdf>.

on raw materials. Its relevance, however, lies in broader provisions on the sustainable management of natural resources under the Trade and Sustainable Development chapter, as well as general commitments relating to supply-chain cooperation.[46] Alongside these trade agreements, the EU has concluded a Sustainable Investment Facilitation Agreement (SIFA) with Angola[47] and is pursuing similar arrangements with other resource-rich developing countries to ease investment conditions.[48] Complementing these outward-oriented measures, the EU regulates inbound investment through the Foreign Direct Investment Screening Regulation[49], which empowers Member States, coordinated by the European Commission, to review and, if necessary, block third-country investments in critical mineral-related infrastructure that pose risks to public order or security.[50]

In terms of alliance collaboration, in recent years, the EU has signed a series of Memoranda of Understanding (MoUs) for Strategic Partnership[51] with resource-rich countries[52], including Ukraine, Chile, Kazakhstan, Namibia, the Democratic Republic of Congo, and Zambia, providing a political framework and basis for bilateral cooperation on critical minerals. To date, the EU has established 14 such partnerships, primarily with countries with which it has negotiated or concluded trade and investment agreements.[53] In January 2025, the EU further announced its intention to negotiate new Clean Trade and Investment Partnerships (CTIPs), which are expected to focus on clean energy transition, investment, skills and technology transfer, and developing strategic industries along the entire supply chain.[54] These partnership arrangements are supported by the EU's wider external investment architecture. In 2021, the European Commission initiated the 'Global Gateway'[55], an initiative that

46 The EU-India FTA was concluded on 27 January 2026. See, in particular, Chapter 16 Trade and Sustainable Development <https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/india/eu-india-agreements/text-agreements_en>

47 The EU-Angola SIFA has entered into force on 1 September 2024, and it is the first EU agreement on investment facilitation. See The EU-Angola SIFA <https://eur-lex.europa.eu/EN/legal-content/summary/eu-angola-sustainable-investment-facilitation-agreement.html>.

48 Victor Crochet (n 38), at 160.

49 Regulation (EU) 2019/452 of the European Parliament and of the Council of 19 March 2019, establishing a framework for the screening of foreign direct investments into the Union (OJ L 079I 21.3.2019, p.1) <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A02019R0452-20211223>.

50 ibid, Article 4 and 8.

51 Regulation (EU) 2024/1252 (n 2), Article 2(63) defines the concept of Strategic Partnership.

52 Note that both the EU and the United States have become increasingly proactive in concluding MoUs as instruments to secure reliable and diversified sources of critical minerals. See IISD Report (n 8) at v.

53 Currently, the 14 strategic partnerships on raw materials with resource-rich third countries include Canada (June 2021), Kazakhstan (November 2022), Namibia (November 2022), Argentina (June 2023), Chile (July 2023), Zambia (October 2023), Democratic Republic of The Congo (October 2023), Greenland (November 2023), Rwanda (February 2024), Norway (March 2024), Uzbekistan (April 2024), Australia (May 2024), Ukraine (July 2021) and Serbia (July 2024).See European Commission, Raw materials diplomacy <https://single-market-economy.ec.europa.eu/sectors/raw-materials/areas-specific-interest/raw-materials-diplomacy_en>

54 IEA, Global Critical Minerals Outlook 2025 (n 13), at 261. Also see Marc Jütten, 'Clean Trade and Investment Partnerships: A New Instrument in the EU's Trade Policy Toolbox' <https://www.europarl.europa.eu/RegData/etudes/BRIE/2025/769576/EPRS_BRI(2025)769576_EN.pdf>.

55 The Global Gateway Initiative is intended to mobilize approximately €320 billion in investment, with €150 billion earmarked for projects in Africa. See IISD Report (n 8), at 10.

attempts to mirror China's Belt and Road Initiative[56] and aims to coordinate EU and Member State public-finance institutions, alongside private capital, to finance infrastructure and mining projects in partner countries, particularly those with established strategic partnerships.[57] Besides, the European Raw Materials Alliance (ERMA) serves as a key industrial and policy platform, open to EU and European Economic Area (EEA) Members as well as to prospective partner companies and research institutions, fostering transnational and cross-sectoral collaboration.[58]

Beyond the EU-led instruments, the EU also participates in the United States (US)-led Minerals Security Partnership (MSP).[59] Recently, this approach has been reinforced through the launch by the US in February 2026 of the Forum on Resource Geostrategic Engagement (FORGE).[60] Its emergence confirms that the EU's critical minerals strategy is increasingly embedded in a network of coalition-based governance. On 24 April 2026, the EU and the US released a Critical Mineral Action Plan tied to a newly concluded Memorandum of Understanding on Strategic Partnership on Critical Minerals.[61] The action plan establishes mechanisms for the two parties to exchange trade policy information and coordinate financial initiatives to reduce their vulnerability to critical mineral shortages and export restrictions. Both sides further intend to pursue a 'plurilateral' agreement among a broad coalition of countries, whose membership has not yet been specified. The primary purpose of this coordinated effort is to scale up critical mineral production decoupled from Chinese influence.[62]

China: Security and Control

China's current approach to critical mineral governance is broadly set out in the National Plan for Mineral Resources (2016–2020), which was issued in 2016 and defined resource security and state coordination as central policy objectives.[63] For the

[56] Victor Crochet (n 38), at 162.
[57] Victor Crochet (n 38), at 163
[58] European Commission, 'European Raw Materials Alliance' <https://single-market-economy.ec.europa.eu/industry/industrial-alliances/european-raw-materials-alliance_en>.
[59] The MSP was launched in June 2022 by the United States and currently include 14 partners states plus the EU. Partners coordinate across foreign, economic, energy, industrial and financial agencies to support projects spanning the entire value chain including mining, extraction, secondary recovery, processing, refining, and recycling. See U.S. Department of State, 'Minerals Security Partnership,' <https://www.state.gov/minerals-security-partnership>.
[60] On 4 February 2026, the United States launched the FORGE at 2026 Critical Minerals Ministerial in Washington with representatives from fifty-four countries and the European Commission. See U.S. Department of State, '2026 Critical Minerals Ministerial', Fact Sheet (4 February 2026) <https://www.state.gov/releases/office-of-the-spokesperson/2026/02/2026-critical-minerals-ministerial/>.
[61] European Commission, 'EU and US launch strategic partnership on critical minerals' (24 April 2026) <https://ec.europa.eu/commission/presscorner/api/files/document/print/en/ip_26_862/IP_26_862_EN.pdf>
[62] Iana Dreyer, 'US, EU to seek plurilateral pact on critical minerals trade and investment' (25 April 2026) <https://borderlex.net/2026/04/25/us-eu-to-seek-plurilateral-pact-on-critical-minerals-trade-and-investment/>
[63] National Plan for Mineral Resources (2016–2020), jointly issued and implemented by the Ministry of Land and Resources, the National Development and Reform Commission (NDRC), the Ministry of Industry and Information Technology (MIIT), the Ministry of Finance (MoF), the Ministry of Environmental Protection and the Ministry of Commerce (MOFCOM) in 2016. For a summary of China's National Plan for Mineral Resources

first time, it listed 24 'strategic minerals'[64] and established a comprehensive framework for exploration, mining, utilization, resource and environmental protection, reserves and supply security of strategic minerals.[65] The 14th Five-Year Plan for National Economic and Social Development (2021) and 2035 Long-Range Objectives Through the Year 2035 of the People's Republic of China (2021)[66] consolidated these policy priorities by placing greater emphasis on supply chain security, strategic resource planning and supervision, national reserves, emergency response and deeper international cooperation through the Belt and Road Initiative.[67] Under China's 15th Five-Year Plan for National Economic and Social Development (2026), adopted on 12 March 2026, China will, during the period from 2026 to 2030, continue strengthening the exploration, development, and stockpiling of strategic mineral resources.[68] Against this policy backdrop, China has steadily advanced a more systematic and rules-based approach through legal and policy reforms, evolving from an extensive, growth-oriented model to one focusing on supply security and sustainability.[69] Rare earths, as a representative case, illustrate this transformation.

From the 1970s to the 1990s, policies, such as a 17% export tax rebate[70], spurred massive production and exports of rare earths[71], enabling China to account for 95–97% of global output by 2010[72] but also causing overcapacity, waste, and environmental

(2016–2020), see IEA, 'National Plan for Mineral Resources (2016–2020)' <https://www.iea.org/policies/15519-national-plan-for-mineral-resources-2016-2020>. Note that, at the time of writing, China had not yet released its next five-year plan for mineral resources.

[64] These include 6 energy minerals (oil, natural gas, shale gas, coal, coal bed methane, uranium), 14 metallic minerals (iron, chromium, copper, aluminum, gold, nickel, tungsten, tin, molybdenum, antimony, cobalt, lithium, rare earths, zirconium), and 4 non-metallic minerals (phosphorus, potash, crystalline graphite, fluorite).

[65] The provincial governments have also developed their own mineral resource plans. See Weihuan Zhou, Victor Crochet and Haoxue Wang, 'Demystifying China's Critical Minerals Strategies: Rethinking "De-risking" Supply Chains' (2025) 24 World Trade Review 257, 264-266.

[66] The Outline of the 14th Five-Year Plan for National Economic and Social Development and the Long-Range Objectives Through the Year 2035 of the People's Republic of China, adopted in March 2021, see an English source text <https://cset.georgetown.edu/wp-content/uploads/t0284_14th_Five_Year_Plan_EN.pdf>.

[67] ibid, Chapter 53, section 2. For more comprehensive research on China's critical minerals strategies, see Weihuan Zhou (n 65).

[68] The 15th Five-Year Plan for National Economic and Social Development of the People's Republic of China was officially adopted by the fourth session of the 14th National People's Congress on 12 March 2026 <http://english.scio.gov.cn/chinavoices/2026-03/13/content_118380631.html>

[69] Yuzhou Shen, Ruthann Moomy, Roderick G. Eggert, 'China's Public Policies toward rare earths, 1975-2018' (2020) 33 Mineral Economics 127, 130-139.

[70] In 1985, China implemented an export tax rebate policy, 13% for rare earth metal ores, 17% for rare earth metals, and 17% for tungsten and tin, which remained effective until the 1990s. See Lixia Tong, 'The Change of Chinese Rare Earth Policy: from restricted export to open export' <https://www.cnmn.com.cn/ShowNews1.aspx?id=363943>.

[71] Between 1978 and 1989, China's rare earth output expanded at an average annual rate of about 40%, propelling China into the ranks of the world's leading producers. See Lee Levkowitz, Nathan Beauchamp-Mustafaga, 'China's Rare Earths Industry and its Role in the International Market', <https://www.uscc.gov/sites/default/files/Research/RareEarthsBackgrounderFINAL.pdf>.

[72] Pui-Kwan Tse, 'China's Rare-Earth Industry', U.S. Geological Survey, Open-File Report 2011-1042, at 1, <https://pubs.usgs.gov/of/2011/1042/of2011-1042.pdf>. Also see Renee Berry, Mihir Torsekar, 'Supplies of Critical Rare Earths to U.S. Industries are Constrained by China's Policies' <https://www.usitc.gov/publications/332/Rare_Earth_EBOT.pdf>.

damage.[73] In response, the government imposed export and production quotas, export taxes and restrictions on foreign investment to curb over-extraction and uncontrolled outflows.[74] Rare earths were classified as 'protected and strategic minerals' in 1990[75], and the Mineral Resources Law established the legal basis for permits and quotas.[76] Foreign investment in exploring, mining or dressing of rare earths and certain other minerals was strictly prohibited.[77] Foreign investors could only process them through joint ventures with Chinese companies, subject to government approval.[78] Meanwhile, China actively engaged in international cooperation to acquire advanced separation and refining technologies and increased national investment in rare earth processing.[79] These efforts enabled China to develop world-leading processing capabilities across the entire value chain.

Between 2009 and 2020, the policy shifted toward industrial consolidation and green development. The State Council's 2012 White Paper on Rare Earths outlined principles of resource conservation, environmental protection, technological upgrading and international cooperation, while expressly noting the coexistence of state-owned, private and foreign-invested enterprises in the sector.[80] Prior to intensified consolidation, China's rare earth industry, especially in upstream mining, smelting and separation, was highly fragmented, with numerous small operators, widespread disorderly competition, and environmental harm. In response, the central government tightened licensing, imposed output controls, and promoted consolidation, progressively concentrating upstream production in a small number of large state-owned enterprise (SoE) groups. From 2011 onwards, the number of refining and separation companies declined from 99 to 59, while 6 major rare earth groups emerged as market leaders.[81]

[73] Philip Andrews-Speed, Anders Hove, 'China's rare earths dominance and policy responses', the Oxford Institute for Energy Studies (June 2023), at 4-5, <https://www.oxfordenergy.org/wpcms/wp-content/uploads/2023/06/CE7-Chinas-rare-earths-dominance-and-policy-responses.pdf>.

[74] Yuzhou Shen (n 69), at 131.

[75] Philip Andrews-Speed (n 73), at 4.

[76] Mineral Resources Law of the People's Republic of China, adopted at the 15th Meeting of the Standing Committee of the Sixth National People's Congress on March 19, 1986. Note that the Mineral Resources Law has been newly revised, this revision entered into force in July 2025.

[77] The then Catalogue for the Guidance of Foreign Investment Industries (Amended in 2007) was promulgated and came into force on 1 December 2007 <https://www.wfoe.org/doc/Catalogue_for_the_Guidance_of_Foreign_Investment_Industries.pdf>. Note that since 1995, all versions of the Catalogue (last revised in 2017) have prohibited foreign investment in rare earth exploration, mining and beneficiation.

[78] Philip Andrews-Speed (n 73), at 4.

[79] Wayne M. Morrison (n 71), at 12.

[80] Situation and Policies of China's Rare Earth Industry，issued by the Information Office of the State Council of the People's Republic of China in June 2012 <https://english.www.gov.cn/archive/white_paper/2014/08/23/content_281474983043156.htm>.

[81] See Rare Earth Industry Development Plan (2016–2020)，issued by MIIT in September 2016 <https://wap.miit.gov.cn/jgsj/ghs/wjfb/art/2020/art_fe67a7436e674480b756604518e0b993.html>. The 6 major rare earth groups that emerged as market leaders integrated 22 of the 23 mining companies and 54 of the 59 processing companies nationwide during that period, effectively addressing the previously fragmented and small-scale structure of the industry. See ibid and also Philip Andrews-Speed (n 73), at 6.

In December 2021, the government adopted the 14th Five-Year Plan for the Development of the Raw Materials Industry[82], formally integrating the rare earth sector into the national raw materials industrial system (alongside steel, non-ferrous metals, building materials, etc.). The Plan prioritizes supply chain security, overseas resource development, independent technological innovation, carbon emission reduction, and digital transformation, while supporting SoEs in leading industry consolidation and enhancing international competitiveness.[83] Subsequently, as the next major policy change, the Rare Earth Management Regulation[84], effective as from October 2024, placed the entire rare earth chain, including mining, smelting and separation, refining, circulation and trade, under unified national oversight.[85] It introduced total-volume control for mining, smelting and separation[86], a traceability system for product flows[87] and cross-references to the Export Control Law for controlled items.[88] The Rare Earth Management Regulation sets mining caps and technical thresholds, and tasks SoEs with driving integration. The Regulation's objectives are to consolidate China's global value chain position, optimize capacity, reduce excess production and environmental costs, and curb illegal or non-compliant activities. The implementation of the Rare Earth Management Regulation has been reinforced through two Interim Measures issued in early 2025: one institutionalizing quota-based total-volume control to achieve 'all-source' management[89], and another establishing a rare-earth traceability system with inter-agency data linkage at export nodes.[90]

In July 2025, the revised Mineral Resources Law (2024 Revision)[91] entered into force, strengthening obligations for resource protection, and clarifying administrative and regulatory responsibilities for rare earths and other critical minerals. In August 2025, seven government departments jointly issued the Guiding Opinions on

[82] The 14th Five-Year Plan for the Development of the Raw Materials Industry, issued by the MIIT, Ministry of Science and Technology and Ministry of Natural Resources in December 2021 <https://www.gov.cn/zhengce/zhengceku/2021-12/29/5665166/files/90c1c79a00b44c67b59c29392476c862.pdf>. Also see the State Council, China unveils five-year plan to boost raw material industry (29 December 2021) <https://english.www.gov.cn/statecouncil/ministries/202112/29/content_WS61cc59bcc6d09c94e48a2e25.html>.

[83] In December 2021, China formed the China Rare Earth Group Co. by merging key producers including China Minmetals Corp, Aluminum Corporation of China (CHALO) and Ganzhou Rare Earth Group Co., reflecting a push for consolidation and the strengthening of state-owned capital. See Global Times, 'China Rare Earth Group Co is set up, to increase pricing power' <https://www.globaltimes.cn/page/202112/1243263.shtml>.

[84] The Rare Earth Management Regulations (n 5).

[85] ibid, Article 2.

[86] ibid, Article 10.

[87] ibid, Article 14 and 25.

[88] ibid, Article 15.

[89] The Interim Measures for the Total Volume Control of Rare Earth Mining and Rare Earth Smelting and Separation, issued by the MIIT on 28 July 2025, <https://www.miit.gov.cn/zcfg/qtl/art/2025/art_ff508817506f4d928dd38ec4ea483b71.html>.

[90] Interim Measures for the Traceability Administration of Rare Earth Products, issued by the MIIT on 28 July 2025, <https://www.gov.cn/gongbao/2025/issue_12286/202509/content_7041212.html>.

[91] Mineral Resources Law (2024 revision) (n 6).

Financial Support for New-Type Industrialization.[92] The latter document emphasized improving mergers and acquisitions (M&A) loan policies to support leading enterprises in undertaking upstream and downstream chain-supplementing and chain-extending investments. It further provided that, subject to compliance with national industrial polices, financial support should be directed toward mining enterprises to accelerate increases in reserves and production of key minerals and to enhance the supply security of strategic resources. Together, these measures underscore the centrality of critical mineral security in China's broader resource strategy.

China's regulatory approach to rare earths, discussed above, is representative of its regulatory approach on critical minerals as a whole. Its approach is best understood as a layered governance structure integrating resource control, industrial coordination, and cross-border extension.

At the foundational level, the government exercises resource control through administrative allocation and strategic support mechanisms. Exploration and mining rights are granted primarily through a licensing regime that favors qualified state-owned enterprises, thereby consolidating industry structure and limiting fragmented or environmentally harmful extraction. This allocation system is complemented by fiscal and financial instruments[93], including tax adjustments under the Resource Tax Law[94] and targeted policy lending[95], which collectively guide capital toward technologically advanced, digitalized, and environmentally sustainable mining activities.

Built upon this foundation is a second layer of industrial coordination and sustainability governance, which seeks to align resource exploitation with long-term ecological and supply security objectives. Regulatory requirements impose environmental compliance obligations on mining companies, including production standards, environmental cost internalization, and administrative penalties for

[92] Guiding Opinions on Financial Support for New-Type Industrialization, issued by People's Bank of China (PBC), MIIT, NDRC, MoF, National Administration of Financial Regulation (NAFR), China Securities Regulatory Commission (CSRC) and State Administration of Foreign Exchange (SAFE) in August 2025, <https://www.miit.gov.cn/xwfb/gxdt/sjdt/art/2025/art_7b36c7509b004f86ab07d02902cf1e2d.html>.

[93] For example, in recent years, central and local governments have invested billions CNY in mineral exploration, with the Ministry of Natural Resources prioritizing funding for critical minerals and local authorities boosting regional exploration to support the green transition. See Ministry of Natural Resources, 'Report of National Geological Survey in 2021' <www.chinacaj.net/i,16,17058,0.html>; Ministry of Natural Resources, 'Focusing on Strengthening the Exploration of Scarce Strategic Minerals and Accelerating the Promotion of Key Mining Projects' <www.jiemian.com/article/9691108.html>; People's Government of Inner Mongolia Autonomous Region, 'General Plan for Mineral Resources in Inner Mongolia Autonomous Region (2021–2025) <https://www.nmg.gov.cn/zwgk/zfxxgk/zfxxgkml/ghxx/202208/t20220826_2119897.html>; Yunnan Provincial Department of Natural Resources, 'Overall Plan for Mineral Resources in Yunnan (2021–2025)' <http://dnr.yn.gov.cn/html/2022/tongzhigonggao_1030/33927.html>.

[94] The Resource Tax Law of the People's Republic of China，adopted at the twelfth meeting of the Standing Committee of the Thirteenth National People's Congress on 26 August 2019, <https://www.chinatax.gov.cn/chinatax/n810214/n810641/n2985871/n2985888/n2985983/c5136107/content.html>.

[95] Weihuan Zhou (n 65), at 266.

violations.[96] In parallel, the establishment of a mineral monitoring and early warning system enables continuous data collection on supply and demand conditions, allowing authorities to anticipate shortages and adjust regulatory responses in a timely manner.[97]

Extending beyond domestic governance, China's approach further incorporates a third dimension of cross-border resource security and regulatory projection. Inbound investment remains subject to a negative list approach, under which foreign investment is restricted in strategically sensitive sectors such as exploration, mining and processing of rare earths, radioactive minerals and tungsten[98], while being encouraged in technologies relating to advanced exploration, efficient resource utilization, and recycling, as well as environmentally friendly projects and short-supply minerals such as potash and chromite.[99] Outbound investment, by contrast, is actively supported through the 'Go Global' strategy, with state-backed enterprises playing a leading role in securing overseas resource assets, particularly in high-risk jurisdictions and in minerals essential to the energy transition.[100] Trade and international cooperation function as additional channels through which this governance model is externalized. China maintains relatively low tariffs on some critical minerals[101] to stabilize industrial supply chains and comply with international commitments, while simultaneously incorporating disciplines on export restrictions in its free trade agreements.[102] However, these liberalizing tendencies coexist with the selective use of export controls as a tool of resource security.[103] Recent regulatory developments have expanded the scope of such controls beyond critical minerals

[96] State Council, 'Outline for National Ecological and Environmental Protection' (26 November 2000), clause 16, <www.gov.cn/gongbao/content/2001/content_61225.htm>; State Council, 'Mineral Resources Policy in China' (December 2003), part 5, <www.gov.cn/zhengce/2005-05/27/content_2615726.htm>; People's Congress, 'Water Pollution Prevention Law of the People's Republic of China' (1 January 2018), Article 42 and chapter 7, <www.mee.gov.cn/ywgz/fgbz/fl/200802/t20080229_118802.shtml>; Ministry of Land and Resources, 'Green Mine Construction Specification of Non-ferrous Metal Industry' (22 June 2018), <http://gi.mnr.gov.cn/201804/P020180418366246265581.pdf>. Also see Weihuan Zhou (n 65), at 268.

[97] The Ministry of Natural Resources' annual report *China Mineral Resources* provides yearly monitoring and publication of China's critical minerals supply, demand, security, and governance systems, serving as an institutionalized source for data aggregation and early-warning reference. See the latest *China Mineral Resources* (2025) <https://gmt8press.com/content/detail/323487>.

[98] Special Administrative Measures (Negative List) for Foreign Investment Access (2024 Edition)，promulgated by the NDRC and the MOFCOM on 6 September 2024, <https://www.gov.cn/zhengce/202409/content_6973047.htm>.

[99] The Catalogue of Industries for Encouraging Foreign Investment (2022 version), promulgated by the NDRC and the MOFCOM on 26 October 2022 and effective as of 1 January 2023, <https://www.gov.cn/zhengce/2022-11/29/content_5730383.htm>.

[100] China is increasing investment and strategic deployment in upstream green transition minerals such as copper, nickel, and lithium. See IEA, Global Critical Minerals Outlook 2025 (n 13), at 6, 271-272.

[101] Announcement of the Tariff Commission of the State Council on the 2025 Tariff Adjustment Plan, Provisional Tariff Schedule for Imported Goods, issued on 26 December 2024, <https://www.gov.cn/zhengce/zhengceku/202412/content_6995067.htm>

[102] Note, however, that at present over half of energy-related minerals are subject to various forms of export control measures. See IEA, Global Critical Minerals Outlook 2025 (n 13), at 7.

[103] For China's practice of implementing export controls on critical minerals, see n 7. Also see Yuezhen Li, 'The Rare Earth Leverage? China's Export Control Law and Xi Jinping's Thought on Law-Based Governance' (2025) 20 University of Pennsylvania Asian Law Review 312, 314.

themselves to include upstream processing technologies and downstream products containing key rare earth components. In some cases, the controls also reach transactions involving foreign-made products where Chinese-origin rare earth materials, components or technologies are used, thereby extending the practical effects of China's export control regime beyond purely domestic transactions.[104]

Notably, on 31 March 2026, China promulgated the Provisions of the State Council on the Security of Industrial and Supply Chains (State Council Order No. 834).[105] This instrument elevates 'industrial and supply chain security' from a policy slogan into an operational administrative law framework. Although it does not expressly refer to critical minerals, it provides an overarching supply-chain security framework within which their governance can be situated. State Council Order No. 834 mainly regulate illegal information gathering, extraterritorial discriminatory restrictions and malicious supply disruptions within China's industrial and supply chains. It authorizes state authorities to initiate security investigations and adopt a full range of countermeasures in trade, investment and personnel exchanges. Meanwhile, it imposes stringent compliance obligations on domestic institutions and individuals and establishes disciplinary mechanisms for domestic entities that fail to comply with relevant regulatory requirements. In this sense, State Council Order No. 834 is likely to reshape both the legal basis and countermeasure logic of China's approach to critical mineral supply chains. As a result, China's management of critical minerals will no longer be understood simply as a matter of export controls or industrial policy, but as part of a broader national supply-chain security regime. This points to a more explicitly security-oriented and countermeasure-driven model of critical minerals governance in China.

Legal and Normative Divergence

Both the EU and China have elevated critical minerals to the level of a core national strategic priority. In their respective legal and policy frameworks, these resources are framed not merely as engines of economic growth and industrial competitiveness, but as indispensable pillars for advancing the green transition and safeguarding energy security. Accordingly, their overarching objectives converge on strengthening supply chain resilience, securing reliable access to key resources, and supporting low-carbon transformation. However, the EU and China pursue these shared objectives from fundamentally different starting positions. For the EU, acute domestic resource scarcity[106] and heavy reliance on imports makes the reduction of external dependence on a single supplier and the diversification of supply sources a core policy imperative,

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104 Note that their application was subsequently suspended for one year until 10 November 2026, n 7.

105 Provisions of the State Council on the Security of Industrial and Supply Chains was promulgated by the State Council of the People's Republic of China on 31 March 2026 <https://www.chinalawtranslate.com/en/-State-Council-Provisions-on-Industrial-and-Supply-Chain-Security/>

106 The EU has some resource potential in rare earths and lithium, but these resources remain underdeveloped. For minerals such as nickel and cobalt, however, the EU does face genuine constraints in terms of domestic resource endowment. It contributes only 5% of global copper output, 3% of cobalt and 2% of nickel. See IEA, Global Critical Minerals Outlook 2025 (n 13), at 260; also see n 10.

an approach crystallized in the Critical Raw Materials Act (CRMA). China, by contrast, holds a dominant position in the mining and processing of many critical minerals.[107] Its strategy is therefore not concerned with reducing foreign dependence, but rather focused on consolidating and upgrading its role within global value chains while safeguarding domestic supply, as set out in the National Mineral Resources Plan (2016–2020) and reaffirmed in the 14th and 15th Five-Year Plans for National Economic and Social Development.

These structural differences give rise to distinct legal and normative logics. The EU's framework is rooted in the notion of Open Strategic Autonomy[108] and follows a logic of regulatory conditionality, conditioning market access on compliance with sustainability, due diligence, and transparency requirements. These requirements operate both as domestic regulatory instruments and as channels for external rule projection, shaping foreign behavior through legal alignment. China's model is rooted in resource sovereignty and centers on strategic control. Mineral resources are treated as state-managed national assets, governed through end-to-end oversight of exploration, mining, processing, export, stockpiling, and recycling. This approach underpins China's use of export controls, support for SoEs and promotion of outbound investment to safeguard its geopolitical leverage and industrial competitiveness.

In domestic supply strategies, both the EU and China seek to enhance supply security, raise efficiency, and support the green transition, but they deploy distinct policy tools. The EU's aims to expand domestic mining and processing to reduce external dependence, yet this effort is constrained by lengthy permit-granting processes, strict environmental standards, public opposition and limited endowment. The CRMA addresses these constraints by the designation of mining, processing and recycling projects as 'Strategic Project' of 'overriding public interest' which benefits from targeted regulatory flexibilities and shortened approval processes. China, by contrast, does not prioritize output expansion. Given its dominant position in many critical minerals, particularly rare earths, China relies on total volume controls to prevent disorderly and excessive domestic extraction. Policy emphasis is placed on industrial consolidation and technological upgrading through production quotas, licensing regimes and administrative restructuring, with resource development concentrated in a limited number of large SoEs. This approach enhances efficiency and regulatory control, but relies heavily on strong government coordination.

The external policies of China and the EU also reflect different priorities. On the trade front, the EU obviously does not impose direct export bans on critical minerals. Rather, its approach is primarily oriented towards supply diversification, strategic partnership and the strengthening of domestic industrial resilience. Trade defense

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[107] See IEA, Global Critical Minerals Outlook 2025 (n 13), at 30-31.

[108] The European Commission's 2021 Strategic Foresight Report identifies 'securing and diversifying the supply of critical raw materials' as one of the ten pillars of Europe's open strategic autonomy. See European Commission, 'Communication from the Commission to the European Parliament and the Council Empty, 2021 Strategic Foresight Report-The EU's capacity and freedom to act, COM (2021) 750 final, Brussels' <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:52021DC0750>.

instruments, such as anti-dumping and countervailing measures, may also play a role, but mainly in relation to downstream products where unequal access to critical minerals or foreign industrial policies affects competitive conditions.[109] It also uses regulatory instruments, such as CBAM measures, to add carbon costs at the import stage, thereby indirectly impacting exports of critical mineral-products from third countries.[110] Meanwhile, the EU also takes action against export restrictions through WTO dispute settlement.[111] In essence, its external strategy centers on rule-shaping and conditional market access. China, by contrast, generally maintains low tariffs and an open trade posture for inbound minerals flow. At the same time, it applies export control measures to critical minerals where necessary to safeguard domestic needs or to respond to external confrontation. In addition, China's outbound policy actively promotes upstream investments in resource-rich countries such as Australia, Chile, and the Democratic Republic of Congo.[112] This approach prioritizes resource acquisition and industrial integration over rule-making.

With regard to international cooperation, the EU and China also differ in the way they organize international partnerships. The EU's approach is increasingly network-based and coalition-oriented. In addition to FTAs, strategic partnerships, and MoUs with resource-rich countries, the EU relies on platforms like the European Raw Materials Alliance (ERMA) and Global Gateway to channel public-private finance and align external cooperation with CRMA diversification target (no more than 65% from a single source by 2030).[113] As the recent US-led initiative (FORGE) and EU-US MoU on critical minerals, discussed above, illustrate, this approach is also being embedded in a broader architecture of allied coordination, through which the EU seeks to shape market conditions through partner networks and shared rules. By contrast, China's international cooperation approach is organized differently. It is more centered on the construction of long-term industrial and infrastructure linkages. Through the Belt and Road Initiative, FTAs, and company-led overseas projects,

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[109] For example, the EU officially imposed definitive countervailing duties of up to 35.3% on imported Chinese battery electric vehicles (BEVs) starting October 30, 2024, for a five-year period. These measures, under Implementing Regulation (EU) 2024/2754, follow an investigation that found unfair, injury-causing subsidies within the Chinese BEV value chain. See European Commission, 'EU Commission imposes countervailing duties on imports of battery electric vehicles (BEVs) from China' (12 December 2024) <https://trade.ec.europa.eu/access-to-markets/en/news/eu-commission-imposes-countervailing-duties-imports-battery-electric-vehicles-bevs-china>

[110] Anatole Boute, 'Accounting for Carbon Pricing in Third Countries Under the EU Carbon Border Adjustment Mechanism', 23 *World Trade Review* (2024) 169, at 184-185.

[111] See n 39; n 40.

[112] For example, a CSIS analysis outlines China's ownership and control over several major copper and cobalt mines in the Democratic Republic of Congo. See Gracelin Baskaran, 'Building Critical Minerals Cooperation Between the United States and the Democratic Republic of the Congo' (25 March 2025) <https://www.csis.org/analysis/building-critical-minerals-cooperation-between-united-states-and-democratic-republic-congo>. Reuters reported that Chinese enterprises are directly involved in both the upstream and downstream segments of Australia's supply chain. See Melanie Burton, 'China's Tianqi open to renegotiating lithium refinery deal with Australia's IGO', (20 August 2025) <https://www.reuters.com/markets/commodities/chinas-tianqi-open-renegotiating-lithium-refinery-deal-with-australias-igo-2025-08-20/>.

[113] Regulation (EU) 2024/1252 (n 2), Article 5.

China's international cooperation tends to establish vertically integrated, cross-border arrangements linking upstream resource mining and processing, and downstream manufacturing across multiple regions. The distinction, therefore, is not simply that both sides cooperate with resource-rich countries. Rather, the EU seeks to reduce dependence through diversified and increasingly coalition-based partnerships, whereas China seeks to secure supply through deeper value-chain embedding, processing capacity and long-term industrial integration.

The recent adoption of the Provisions of the State Council on the Security of Industrial and Supply Chains (State Council Order No. 834) adds a further layer to this divergence. The instrument responds to external 'de-risking' pressures by providing for the investigation of, and countermeasures against, discriminatory restrictions imposed by other States, organizations, or companies on China's industrial and supply chains.[114] As a result, EU efforts to reduce dependence on China may be viewed by China as exclusionary or discriminatory supply-chain restructuring, while China's supply-chain security measures may be perceived by the EU as a further expansion of its control over critical minerals. Thus, one immediate area of tension lies between 'de-risking' and anti-discrimination countermeasures. If the EU critical minerals policy develops into a systematic exclusion of Chinese companies, products, technologies or capital from the EU market, the investigative and countermeasure tools under State Council Order No. 834 will be applied.

A further tension concerns the relationship between supply-chain transparency and information security. EU critical minerals governance increasingly relies on traceability, ESG standards, supply-chain audits, carbon-footprint disclosure, and environmental and human rights due diligence. To comply with the CRMA, the Battery Regulation, the CSDDD and related rules, EU companies will have to seek detailed information from Chinese suppliers on mine origin, processing, logistics, carbon emissions, labour conditions and beneficial ownership, etc. Yet, State Council Order No. 834 allows Chinese authorities to act against supply-chain investigations or information-gathering activities conducted in China in violation of Chinese law.[115] From China's perspective, certain third-party audits, data requests or extraterritorial compliance investigations may implicate industrial and supply-chain security or even national security. This places companies on both sides in a difficult compliance dilemma: Europe demands transparency, while China insists on security and controllability.

State Council Order No. 834 may also affect how the EU assesses the stability of critical minerals supplies from China. The instrument allows China, when domestic economic and social stability or national security is at risk, to adopt emergency measures relating to critical minerals, such as coordinated allocation, use of reserves, and organized production, transport and supply.[116] Internally, these are resilience-building tools. For European importers, however, it may suggest that China could

[114] Provisions of the State Council on the Security of Industrial and Supply Chains, Article 14-15.
[115] ibid, Article 13.
[116] ibid, Article 11.

prioritize domestic supply chains in times of crisis, adding uncertainty to external supply. This may reinforce the EU's view that critical minerals cannot be treated simply as ordinary commercial goods, but must be managed through the lens of geo-economic risk.

In sum, the EU and China broadly share a concern with critical minerals security, but they translate this concern into different legal and regulatory approaches. The EU seeks to reduce dependency through supply diversification, strategic partnership and domestic capacity-building, while using regulatory conditionality and sustainability standards to shape the terms on which critical minerals and related products enter the EU market. By contrast, China seeks to secure supply through value-chain integration, state coordination, and countermeasure-based supply-chain security tools. The State Council Order No. 834 of March 2026 does not fundamentally alter this divergence, but it makes its security dimension more explicit.

CRITICAL MINERALS GOVERNANCE AND WTO LAW

As critical minerals have moved to the center of geopolitical competition and industrial policy, both China and the EU have, as discussed above, adopted increasingly assertive governance approaches to secure supply chains and advance strategic objectives. These approaches rely on distinct regulatory techniques and justificatory logics, and each raises specific issues under WTO law.

China's Export Controls and the Security Exception Dilemma

China's governance model for critical minerals reflects a deliberate policy choice aligned with its broader development and security strategy. While it has facilitated resource integration and industrial upgrading, it has also raised concerns regarding its compatibility with multilateral trade disciplines. In recent years, the Ministry of Commerce and the General Administration of Customs have, through successive announcements and updates to the export control list for dual-use items, brought a wide range of materials commonly characterized as 'critical minerals' under enhanced license-based export control. More recently, China has, as discussed above, expanded its export control regime to encompass technologies relating to rare-earth mining, refining, recycling and magnet production, in some cases with potential extraterritorial implications where foreign-made products incorporate Chinese-origin rare earths or rely on Chinese-origin technologies.[117] Officially, these measures were justified by general references to the protection of China's 'national security interests' and to the fulfilment of 'international obligations of non-proliferation', without, however, any public disclosure of the specific risks triggering the restrictions.[118]

[117] See n 7.

[118] For example, Announcement No. 10 and No. 18 [2025] of the Ministry of Commerce and the General Administration of Customs only state 'to safeguard national security and interests, and to fulfill international obligations such as non-proliferation.' See n 7.

Domestically, their principal legal basis lies in the 2020 Export Control Law and its implementing regulations on dual-use items, supplemented by the Foreign Trade Law, customs legislation and technology export regulations. The Export Control Law does not establish 'critical minerals' as a separate statutory category. Instead, critical minerals fall within the broader class of 'controlled items' insofar as they relate to the protection of national security interests.[119] Note that the Law defines 'national security interests' in broad terms and does not require public risk disclosure or impact assessment.[120] As a result, China's regulatory approach enhances its policy flexibility but simultaneously increases external uncertainty and the likelihood of WTO-based challenges.[121]

Under WTO law, Article XI:1 of the General Agreement on Tariffs and Trade 1994 (GATT 1994) prohibits quantitative restrictions on imports and exports, including quotas, licenses or other measures which operate as quantitative restrictions.[122] In addition, China's Accession Protocol contains specific commitments to eliminate export duties, except for those expressly provided for in Annex 6 to the Protocol.[123] For China, export-control measures are subject to WTO-plus obligations and thus heightened scrutiny in any WTO dispute. China could invoke the national security exception under Article XXI of the GATT 1994[124] to justify export restrictions inconsistent with Article XI of the GATT 1994. However, in line with well-established WTO case law on Article XX of the GATT 1994, it is unlikely that Article XXI thereof can be invoked to justify export duties prohibited under China's Accession Protocol.[125]

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[119] Export Control Law of the People's Republic of China, adopted at the 22nd Meeting of the Standing Committee of the 13th National People's Congress on 17 October 2020, Articles 2, 12 and 13 <http://dltb.mofcom.gov.cn/zcfg/art/2023/art_909d9f5e7f024b9ab158b71fba2f06cb.html>.

[120] ibid, Articles 2 and 3 only use expressions such as 'national security and interests' and 'holistic view of national security.'

[121] Generally, see Sunayana Sasmal, 'Between a Rock and a Hard Place: Critical Minerals, Export Restrictions and WTO Law after the Indonesia Dispute' (2025) 59 Journal of World Trade 951; Weihuan Zhou (n 65); Victor Crochet (n 38); Nidhi Srivastava, 'Trade in critical minerals: Revisiting the legal regime in times of energy transition' (2023) 82 Resources Policy; Eric W. Bond, Joel Trachtman, 'China-Rare Earths: Export Restrictions and the Limits of Textual Interpretation' (2016) 15 World Trade Review 189.

[122] GATT 1994, Article XI: General Prohibition of Quantitative Restrictions; also see Article XI (Practice), WTO Analytical Index <https://www.wto.org/english/res_e/publications_e/ai17_e/gatt1994_art11_oth.pdf>.

[123] Protocol on the Accession of the People's Republic of China, Decision of 10 December 2001, WT/L/432 <https://www.worldtradelaw.net/document.php?id=misc/ChinaAccessionProtocol.pdf&mode=download>.

[124] GATT 1994, Article XXI: Security Exceptions; also see Article XXI Security Exception, Analytical Index of the GATT <https://www.wto.org/english/res_e/booksp_e/gatt_ai_e/art21_e.pdf>.

[125] See Appellate Body Reports, *China – Measures Related to the Exportation of Various Raw Materials*, WT/DS394/AB/R, WT/DS395/AB/R, WT/DS398/AB/R, adopted 22 February 2012 and Appellate Body Reports, *China – Measures Related to the Exportation of Rare Earths, Tungsten and Molybdenum,* WT/DS431/AB/R, WT/DS432/AB/R, WT/DS433/AB/R, adopted 29 August 2014, which stand for the proposition that Article XX GATT cannot be invoked to justify export duties prohibited under China's Accession Protocol; see also Panel Report, *Russia – Measures Concerning Traffic in Transit*, WT/DS512/R, adopted 26 April 2019, which considered Article XXI available to justify the inconsistency with the Accession Protocol at issue in that case; however, the Panel did so on the basis of the same reasoning as adopted by the Appellate Body in *China – Publications and Audiovisual Products*, in which Article XX was found available to justify the inconsistency with the obligation under the Accession Protocol at issue. However, that reasoning does not apply to the prohibition of export duties under China's Accession Protocol.

For a long time, Article XXI was treated as a self-judging provision and often described as a 'Pandora's box' for the GATT and later WTO system. As a result, it was seldom explicitly invoked and never tested in GATT or WTO dispute settlement until the landmark case *Russia – Traffic in Transit* (DS512).[126] In that case, the Panel determined that Article XXI(b)(iii)[127] is not wholly self-judging. WTO adjudicators retain jurisdiction over disputes involving Article XXI because the existence of a 'war or other emergency in international relations' is an objective circumstance subject to panel review.[128] Moreover, while Members maintain broad discretion in defining their essential security interests and in determining whether the challenged measure is necessary, this discretion is constrained by the requirement under customary international law, as codified in Article 31 and 26 of the Vienna Convention on the Law of Treaties, that Article XXI(b)(iii) is interpreted and applied in good faith. In this regard, for a measure to be 'necessary' within the meaning of Article XXI(b)(iii), there needs to be a plausible relationship between the measure adopted and the essential security interest invoked. Subsequent jurisprudence, including *US – Origin Marking (Hong Kong, China)* (DS597) and *US – Steel and Aluminium Products (China)* (DS544), has confirmed this understanding of Article XXI.

In this sense, any attempt by China to justify its critical minerals export restrictions under Article XXI(b)(iii) would require demonstrating the existence of an objectively verifiable 'emergency in international relations'[129] and articulating a plausible connection between the measures and the protection of the essential security interest identified. China would also need to 'articulate the essential security interest said to arise from the emergency in international relations sufficiently enough to demonstrate their veracity'.[130]

Reliance on Article XI:2(a) of the GATT 1994[131], which permits temporary export restrictions to prevent or relieve critical shortages of essential products, would face significant legal constraints as well. WTO jurisprudence has interpreted this provision narrowly, requiring that such measures be of 'a limited duration' and that any 'critical shortage' must amount to 'those deficiencies in quantity that are crucial, that amount to a situation of decisive importance, or that reach a vitally important or decisive stage,

[126] Panel Report, *Russia – Measures Concerning Traffic in Transit*, WT/DS512/R, adopted 26 April 2019 <https://www.wto.org/english/tratop_e/dispu_e/512r_e.pdf>. See Daria Boklan, ibid, at 123.

[127] Article XXI(b)(iii) of the GATT 1994 provides that nothing in the Agreement shall be construed to prevent any Member from taking any action which it considers necessary for the protection of its essential security interests, 'taken in time of war or other emergency in international relations.' See Article XXI Security Exception <https://www.wto.org/english/res_e/booksp_e/gatt_ai_e/art21_e.pdf>.

[128] Panel Report, *Russia – Traffic in Transit* (n 126), para. 7.101.

[129] As the Panel stated in *Russia – Traffic in Transit*, 'an emergency in international relations would, therefore, appear to refer generally to a situation of armed conflict, or of latent armed conflict, or of heightened tension or crisis, or of general instability engulfing or surrounding a State.' See *Russia – Traffic in Transit* (n 126), para. 7.76.

[130] Panel Report, *Russia – Traffic in Transit* (n 126), para. 7.134.

[131] Article XI:2(a) of the GATT 1994 provides that the provisions of Article XI:1 shall not extend to 'Export prohibitions or restrictions temporarily applied to prevent or relieve critical shortages of foodstuffs or other products essential to the exporting contracting party".

or a turning point'.[132] Given the predominantly structural and long-term nature of critical minerals export controls by China, Article XI:2(a) is unlikely to provide a robust legal basis for the proposition that the prohibition of quantitative restrictions under Article XI:1 does not apply to such measures.

Beyond Article XXI(b)(iii) and XI:2(a), China could invoke the general exceptions under Article XX of the GATT 1994.[133] Article XX(b) (regarding the protection of human, animal or plant life or health) and Article XX(g) (regarding the conservation of exhaustible natural resources) are the most relevant provisions. Critical minerals qualify as 'exhaustible natural resources', and China might contend that export restrictions contribute to their conservation. However, the Appellate Body Reports in *China – Rare Earths* (DS431, DS432, DS433) make clear that Article XX(g) requires even-handed domestic restrictions on domestic production or consumption, a standard that China failed to satisfy in that case, and is unlikely to meet under its current regime.[134] Article XX(b) would require demonstrating a genuine public health or environmental protection objective and the absence of reasonably available, less trade-restrictive alternatives, a set of conditions that is difficult to reconcile with measures motivated primarily by industrial policy concerns. This difficulty is illustrated in the Panel Reports in *China – Rare Earths*, where China's reliance on Article XX(b) failed because the Panel found that the 'design' and 'structure' of the measure at issue did not support China's contention that the objective of the measure was the protection of life and health.[135] Other exceptions, such as Article XX(d) (regarding compliance with domestic laws and regulations) and XX(j) (regarding products in general or local short supply), offer limited prospects, given both jurisprudential constraints and China's status as the world's significant producer of several of the minerals concerned.

The EU's Internal Regulation and WTO Compatibility

Unlike China, the EU has not relied on export restrictions as a policy instrument in its critical minerals strategy. The EU's overall approach is anchored in the CRMA. The principal rules contained in the CRMA are largely framed in terms of policy objectives (such as 2030 objectives for domestic capacity), administration coordination and capacity-building mechanisms, rather than as border measures that directly restrict the entry of critical minerals from particular countries into the EU market. For this reason, questions of the WTO compatibility are more likely to arise from the specific

[132] E.g., Appellate Body Reports, *China – Measures Related to the Exportation of Various Raw Materials* (WT/DS394/AB/R; WT/DS395/AB/R; WT/DS398/AB/R), adopted 22 February 2012, paras.310, 312-313, 323-328 <https://worldtradelaw.net/document.php?id=reports/wtoab/china-rawmaterials(ab).pdf&mode=download >

[133] WTO Analytical Index of the GATT-Article XX-General Exceptions <https://a.fanj.nl/english/res_e/publications_e/ai17_e/gatt1994_art20_gatt47.pdf>.

[134] Appellate Body Reports, *China – Measures Related to the Exportation of Rare Earths, Tungsten and Molybdenum*, WT/DS431/AB/R, WT/DS432/AB/R, WT/DS433/AB/R, adopted 29 August 2014, paras. 5.85–5.101.

[135] Panel Reports, *China – Rare Earths,* WT/DS431/R, WT/DS432/R, WT/DS433/R, adopted, as amended, 29 August 2014, para. 7.171.

implementation of CRMA-based measures than from the CRMA itself. The more immediate issues of WTO-consistency of EU governance of critical minerals arise from the EU's ESG-related market-access regulation, most notably the CSDDD and the Batteries Regulation. Although grounded in sustainable development objectives, these instruments collectively structure access to the EU market by imposing extensive climate, sustainability and due diligence obligations on economic activities conducted within, or directed towards, the EU. In this way, ESG standards function as regulatory conditions with tangible effects on the cross-border trade and marketability of critical minerals.[136]

These instruments operate at different regulatory levels but together they constitute a coherent sustainability-based access regime. The CSDDD establishes mandatory human rights and environmental due diligence obligations for EU companies and certain non-EU companies meeting specified revenue thresholds[137], requiring them to identify, prevent, mitigate and account for adverse human rights, labor and environmental impacts across their global value chains.[138] The Batteries Regulation adds due-diligence traceability and verification duties. All batteries sold in the EU market must include information on the extraction and processing of critical minerals such as lithium, cobalt and nickel. This is recorded through a digital 'battery passport' that tracks ESG performance throughout the product's lifecycle.[139] Each instrument thus produces clear extraterritorial effect by conditioning access to the EU market on compliance with EU-defined ESG standards. Non-EU economic operators are therefore required to meet the same regulatory requirements as EU companies in order to export minerals, batteries, or other mineral-intensive products to the EU, or to operate within the EU through subsidiaries.[140]

While the EU presents this sustainability-based regulatory model as necessary to achieve its Green Deal and climate commitments, these instruments have generated significant legal and policy concerns.[141] In particular, these instruments may function

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[136] Laurie Durel, 'Border carbon adjustment compliance and the WTO: the interactional evolution of law' (2024) 27 Journal of International Economic Law 18, 20-22.

[137] See n 32.

[138] The due diligence obligations include identification, prevention, mitigation, termination, remediation, monitoring and communication, as set out in Directive (EU) 2024/1760 (n 3).

[139] Batteries Regulation (EU) 2023/1542 (n 4).

[140] The CSDDD applies to third-country companies meeting EU turnover thresholds (Article 2(2)), with civil liability rules taking overriding mandatory effect even for damage outside the EU. Under the Batteries Regulation, market placement requirements, including the battery passport (Article 77-78) and supply chain due diligence (Articles 48-53), apply to any operator placing batteries or battery-containing products on the EU market, including products manufactured outside the EU.

[141] E.g. see Victor Crochet, Elyse Kneller, 'Tilting the Playing Field', EJIL: Talk! (11 January 2023) <https://www.ejiltalk.org/tilting-the-playing-field/>; Laurie Durel (n 136); Stephen Park, 'Untangling the Extraterritoriality of ESG Regulation' (2024) 49 North Carolina Journal of International Law 399; Pierre Leturcq, 'The European Carbon Border Adjustment Mechanism and the path to Sustainable Trade Policies: From "Coexistence" to "Cooperation"' (2022) 25 Cambridge Yearbook of European Legal Studies 67; Gracia Marín Durán, 'Securing Compatibility of Carbon Border Adjustments with the Multilateral Climate and Trade Regime' (2023) 72 International & Comparative Law Quarterly 73; Giulia Claudia Leonelli, 'Carbon Border Measures, environmental Effectiveness and WTO Law Compatibility: Is There a Way Forward for the Steel and Aluminum Climate Club? (2022) 21 World Trade Review 619; Anne-Marie Weber, 'Expanding the

in practice as barriers privileging European companies and disadvantage non-compliant external competitors. Against this background, key questions arise as to the WTO-consistency of the EU's ESG-based regulation regarding critical minerals. In particular, it is open to question whether the EU may impose its ESG standards on foreign companies as a condition of market access? Are these instruments substantively proportionate and non-discriminatory, or do they instead operate as trade restrictions under the guise of sustainability? These concerns have led the EU's ESG regime to be frequently characterized as a form of 'green conditionality'[142] or normative protectionism, reflecting a broader regulatory divergence between the EU and China that is especially pronounced in the critical minerals sector.

In an attempt to justify its otherwise GATT-inconsistent ESG-related measures affecting trade in critical minerals, the EU may invoke Article XX(b) but, if it does, it would, first of all, have to convince a panel that Article XX(b) can justify a measure that protects public health or the environment outside the EU's territorial jurisdiction. The Panel in *EC – Tariff Preference* found that such measures cannot be justified under Article XX(b).[143] Therefore, the EU is more likely to invoke Article XX(a) (regarding the protection of public morals), for which the issue of the extra-territorial reach of Article XX does not arise. Until recently, when a WTO Member contended that a contested measure was to protect public morals, WTO adjudicators were very reluctant to disagree with that contention. In *Colombia – Textiles,* the Appellate Body found that if the alleged measure 'is not incapable of protecting public morals', the measure was a measure 'designed' to protect public morals.[144] Applying this very soft requirement of being 'not incapable', the Appellate Body and panels readily accepted the challenged measure was to protect public morals and swiftly moved on to the question whether the measure was 'necessary' to protect public morals and, if so, whether it was applied consistently with the chapeau of Article XX. When invoking Article XX(a), the EU may find it challenging to show that the measure meets these requirements. In January 2026, however, the Panel in *US – IRA (China)* has made the successful invocation of Article XX(a) in justification of an otherwise GATT-inconsistent measure even more difficult.[145] The Panel in this case did not just accept the contention of the United States that the challenged measures were to protect public morals. In contrast to earlier practice, the Panel carefully examined this

Toolbox of Sustainable Business Law: The Transnational Impacts of the EU Corporate Sustainability Due Diligence Directive (CSDDD)' (2024) 42 Pace Environmental Law Review 155.

142 Belen Olmos Giupponi, Hannes Hofmeister, '"Green Conditionality" in the EU's Trade and Investment Policy: *Quo Vadis?*' in Wessel, R.A., Bergamaschine Mata Diz, J., Péret Tasende Társia, J., Akdogan, S.E. (ed), EU External Relations Law and Sustainability. Global Europe: Legal and Policy Issues of the EU's External Action (Springer, 2025) 65-89.

143 Panel Report, *European Communities – Conditions for Granting Tariff Preferences to Developing Countries*, WT/DS246/R, adopted 20 April 2004, para. 7.210.

144 Appellate Body Report, *Colombia – Measures Relating to the Importation of Textiles, Apparel and Footwear*, WT/DS461/AB/R, adopted 22 June 2016, para. 5.68.

145 Panel Report, *United States – Certain Tax Credits under the Inflation Reduction Act*, WT/DS623/R, dated 20 January 2026 (appeal pending).

contention and concluded that the United States had not demonstrated that the measures at issue were taken 'to protect public morals'.[146] It based this conclusion on the nature of the alleged public morals invoked, on the direct evidence of the objectives of the measures at issue, and the absence of a relationship between the alleged public morals and the design, structure, and expected operation of the measures at issue.[147] When contending that a ESG-related measure is a measure to protect public morals, the EU will have to do more than showing that the measure at issue is 'not incapable' of protecting public morals.

Taken together, the Chinese and European approaches reflect the growing tension between the pursuit of 'strategic autonomy' and the principles of international economic law. Both China and the EU are increasingly resorting to unilateral trade restrictions, justified in the name of 'security', 'sustainability', or 'strategic autonomy'.[148] This trend not only generates legal uncertainty but also fuels a self-reinforcing pattern of justification of trade restrictive measures: China has imposed export controls citing national security and the EU has introduced market access conditions on the grounds of climate necessity. Such diversification of justifications risks triggering a destructive competition over normative legitimacy within the WTO system, ultimately undermining the rule of law, predictability and the credibility of dispute settlement.[149]

CRITICAL MINERALS GOVERNANCE AND INTERNATIONAL INVESTMENT LAW

Investment screening in the critical minerals sector has become a key arena for the legal and normative tensions between national sovereignty and economic openness. Both the EU and China have developed their regulatory tools for screening foreign investment, primarily invoking national security as legal basis, with considerations of supply chain integrity or 'de-risking' framed within this security rationale. Such an approach may generate legal issues under existing international investment law.

[146] ibid, para. 7.204.
[147] ibid.
[148] The WTO Trade Monitoring Report shows that in recent years Members have adopted many trade restrictions or export restrictions, and notes that many of these measures have been introduced on grounds such as security and climate. See WTO Trade Monitoring Report (20 November 2024) <https://www.wto.org/english/tratop_e/tpr_e/factsheet_dec24_e.pdf>.
[149] Peter Van den Bossche, Sarah Akpofure, 'The Use and Abuse of the National Security Exception under Article XXI (b) (iii) of the GATT 1994' in Chia-Jui Cheng (ed.), *A New Global Economic Order: New Challenges to International Trade Law* (Brill Nijhoff, 2021) 121-168; Warren Maruyama, Alan Wm. Wolff, 'Saving the WTO from the National Security Exception', Working Paper 23-2, Peterson Institute for International Economics (May 2023) <https://www.piie.com/sites/default/files/2023-05/wp23-2.pdf>; Benn Steil, Elisabeth Harding, 'Soaring Abuse of "National Security" Exceptions Has Wrecked the Multilateral Trading System', Council on Foreign Relations (19 December 2024) <https://www.cfr.org/blog/soaring-abuse-national-security-exceptions-has-wrecked-multilateral-trading-system>.

The EU: Investment Screening and ESG-Based Regulation

The EU's foreign investment screening regime is governed by Regulation (EU) 2019/452[150], which establishes a coordination framework for the screening of foreign direct investment (FDI) from non-EU countries on grounds of security or public order.[151] While the Regulation preserves Member States' authority to make final determinations in individual cases, it also introduces procedural mechanisms at the EU level, including information-sharing obligations, notification requirements, and the possibility for the European Commission to issue non-binding opinions in cases involving cross-border effects or investments in strategic sectors such as energy, transport, and critical raw materials.[152] The Regulation does not define the substantive content of 'security' and 'public order', leaving their interpretation largely to Member States. This design has resulted in variations in national screening practices, reflecting differences in risk assessment and policy priorities.[153]

Such variations in national screening practices do not constitute in and of themselves a breach of any obligation under international investment law. However, where screening decisions are perceived as lacking transparency, are applied inconsistently to comparable investors, or are insufficiently justified on security grounds, they may give rise to claims under applicable international investment agreements (IIAs).[154] Whether such claims can be pursued, however, depends fundamentally on whether the relevant IIAs extends substantive protection to the pre-establishment phase of an investment.[155] Note in this respect that China and EU Member States have concluded BITs with one another[156], most of which were negotiated and signed in the 1980s and 1990s and largely follow a post-establishment protection model, conferring substantive protection only after an investment has been admitted in accordance with the host State's domestic law[157], thereby limiting the

150 Regulation (EU) 2019/452 (n 49).

151 European Commission, 'Fifth Annual Report on the screening of foreign direct investments into the Union' (COM (2025) 632 final), Brussels, 14 October 2025 <https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:52025DC0632>

152 Regulation (EU) 2019/452 (n 49), Articles 4 and 6-9.

153 A report indicates that Europe has become increasingly sensitive to the potential risks presented by Chinese investment, driven by concerns over critical infrastructure security, supply chain resilience, technology transfer in sensitive sectors and fair competition. See Agatha Kratz, et al., 'Chinese Investment Rebounds Despite Growing Frictions-Chinese FDI in Europe: 2024 update', a report by Rhodium Group and the Mercator Institute for China Studies (MERICS) (May 2025), at 22 <https://rhg.com/wp-content/uploads/2025/05/MERICS-Rhodium-Group-COFDI-Update-2025.pdf>. Also see Jochem de Kok, 'Investment Screening in the EU: From Liberalization to the State of Exception' (2026) 27 Journal of World Investment & Trade 250.

154 Ming Du, 'Huawei Strikes Back: Challenging National Security Decisions before Investment Arbitral Tribunals' (2023) 37 Emory International Law Review 1.

155 Tania Voon, Dean Merriman, 'Incoming: How International Investment Law Constrains Foreign Investment Screening' (2022) 24 The Journal of World Investment & Trade 75; Szilárd Gáspár-Szilágyi, 'When the Dragon comes Home to Roost: Chinese Investments in the EU, National Security, and Investor–State Arbitration' (2024) 15 Journal of International Dispute Settlement 195.

156 To date, China has signed 25 BITs with 26 EU States (Belgium and Luxembourg share one), excluding Ireland. The CAI aims to replace these BITs and unify investment rules but has not yet entered into force.

157 Qian Xu, 'Scoping the impact of the Comprehensive Agreement on investment: liberalization, protection, and dispute resolution in the next era of EU–China relations' (2022) 30 Asia Pacific Law Review 93.

extent to which investment screening measures may be challenged under these agreements.

This picture would not fundamentally change under the stillborn EU–China CAI. While the CAI departs from earlier IIAs by incorporating pre-establishment market access commitments[158], practical impact of these commitments should be understood with caution. The CAI does not establish an investor-State dispute settlement (ISDS) mechanism. Accordingly, even if it were to enter into force, it would not offer an investor a direct procedural avenue to challenge EU investment screening decisions in sectors such as critical minerals. Any disputes would instead be addressed through state-to-state mechanisms. At the same time, the practical significance of such potential claims should also not be overstated. The EU has not been a primary destination for Chinese investment in upstream critical mineral mining, this suggests that, even where investment treaties contain pre-establishment or market access obligations, the likelihood of investment disputes arising in this specific context would remain limited in practice.

A further and increasingly significant source of legal tension arises from the application of EU ESG-related standards to critical mineral supply chains, which directly shape the conditions under which foreign investors may develop, process, or commercialize strategically important mineral resources within or for the EU market. EU ESG measures increasingly operate beyond the territory of the Union and may have direct implications for foreign investors, particularly where compliance entails substantial costs or effectively conditions access to the EU market.[159] In such circumstances, ESG requirements may intersect with investment protection standards under IIAs and the broader international investment law framework.

One area of potential concern relates to fair and equitable treatment (FET), where investors may argue that the introduction or tightening of ESG requirements undermine legitimate expectations regarding regulatory stability. As arbitral practice suggests, the viability of such claims would depend on factors such as foreseeability,

158 Relevant studies have provided a detailed interpretation of the CAI provisions on market access, level playing field, transparency and performance requirements, etc. For example, see Qian Xu, ibid; Guillaume Van der Loo, 'Lost in Translation? The Comprehensive Agreement on Investment and EU-China trade relations', Discussion Paper, Europe's Political Economy Program (3 June 2021) <https://epc-web-s3.s3.amazonaws.com/content/PDF/2021/EU-China_trade_DP.pdf>; Lili Yan ING, Junianto James Losari, 'The EU-China Comprehensive Agreement on Investment: Lessons Learnt for Indonesia', ERIA Discussion Paper Series No. 396 (August 2021) <https://www.eria.org/uploads/media/discussion-papers/FY21/EU-China-Comprehensive-Agreement-Investment-Lesson-Learnt-for-Indonesia.pdf>; Vrinda Vinayak, 'The Pre-Establishment National Treatment Obligation: How Common Is It?' EFILA Blog (14 January 2019) <https://efilablog.org/2019/01/14/the-pre-establishment-national-treatment-obligation-how-common-is-it>

159 Leonard Feld, 'Leading the Way or Crossing the Line? The Extraterritorial Dimension of the EU Directive on Corporate Sustainability Due Diligence' (FirstView, published online 8 January 2026) Business and Human Rights Journal 1–23; Talal Abdulla Al-Emadi and others, 'The EU Corporate Sustainability Due Diligence Directive: Implications and the Qatari Case Study' (2025) 18 Journal of World Energy Law & Business 1-25; Stephan Kim Park, 'Untangling the Extraterritoriality of ESG Regulation' (2025) 49 North Carolina Journal of International Law 399.

the presence of specific commitments, and the public policy objectives pursued.[160] ESG requirements may also give rise to arguments concerning indirect expropriation, particularly where compliance burdens significantly affect the economic viability of an investment or substantially interfere with its operation. However, prevailing jurisprudence sets a high threshold for such claims, generally distinguishing between substantial deprivation of property rights and adverse economic effects resulting from bona fide regulatory measures.[161]

In addition, ESG-based due diligence and reporting regimes may raise issues of national treatment and most-favored-nation (MFN) treatment if they result, in practice, in differential burdens on non-EU investors. Such concerns may arise where EU-based firms benefit from greater administrative familiarity, regulatory continuity, or transitional exemptions, although whether these effects amount to discrimination would depend on a comparison between similarly situated investors and the neutrality of the regulatory framework.[162] When such ESG standards are incorporated into investment approval processes or effectively shape investment decisions, questions may also arise under IIAs, particularly where the applicable IIA extends protection to the pre-establishment phase.

China: Security-Oriented Investment Governance

China's governance of foreign direct investment in the critical minerals sector, much like that of the EU, is characterized by a high degree of regulatory autonomy grounded in national security considerations.[163] Investment screening is closely integrated with broader development strategies and security objectives, allowing government authorities substantial discretion in determining whether and how foreign investment may proceed in strategically sensitive sectors.

China relies on a set of centralized regulatory instruments to govern foreign investment in the critical minerals sector. At the market-access level, the Special Administrative Measures (Negative List) for Foreign Investment Access (periodically

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[160] Clara López, 'Mining in investment arbitration: an analysis of mining companies' legitimate expectations' (2024) 27 Journal of International Economic Law 297; Jack Biggs, 'The Scope of Investors' Legitimate Expectations under the FET Standard in the European Renewable Energy Cases' (2021) 36 ICSID Review - Foreign Investment Law Journal 99; Chen Yu, 'Disentangling Legal Stability from Legitimate Expectations: Towards Greater Deference to Regulatory Changes in Renewable Energy Transition Policies in Investment Arbitration' (2025) 24 World Trade Review 101.

[161] Christian Riffel, 'Indirect Expropriation and the Protection of Public Interests' (2022) 71 International and Comparative Law Quarterly 945; Crina Baltag and others, 'Recent Trends in Investment Arbitration on the Right to Regulate, Environment, Health and Corporate Social Responsibility: Too Much or Too Little?' (2023) 38 ICSID Review - Foreign Investment Law Journal 381; Omer Erkut Bulut, 'Drawing Boundaries of Police Powers Doctrine: A Balanced Framework for Investors and States' (2022) 13 Journal of International Dispute Settlement 583.

[162] Sunayana Sasmal, 'Let's Get Critical: Critical Minerals Mini Deals as Evolving Models of Trade Cooperation' (2026) World Trade Review (First view); Oliver Hailes, 'Environmental Clauses in Investment Arbitration: Deep Roots, Green Shoots and Dead Wood' (2025) 40 ICSID Review - Foreign Investment Law Journal 399; UNCTAD, 'Due diligence initiatives, voluntary sustainability standards and developing countries' Geneva, 2025, at 29 <https://unctad.org/system/files/official-document/ditctab2024d5_en.pdf>

[163] Min Ye, 'The Political Economy of China's Outbound Investment' in The Belt Road and Beyond: State-Mobilized Globalization in China (1998-2018) by Min Ye (Cambridge University Press, 2020) 84-114.

updated by the National Development and Reform Commission (NDRC) and MOFCOM) play a central role. Under the latest 2024 version of the Negative List[164], foreign investment is, as discussed above, expressly prohibited only in a limited number of mineral-related activities, namely the exploration, mining, and beneficiation of rare earths, radioactive minerals, and tungsten. This relatively narrow scope of prohibitions indicates that China has not adopted a blanket exclusion of foreign investment across the critical minerals sector, but instead targets specific minerals regarded as particularly sensitive from a resource security perspective.

Beyond these entry restrictions, foreign investment in critical minerals may also be subject to national security review under the Measures for the Security Review of Foreign Investment.[165] These Measures apply, inter alia, to foreign investments in important energy and natural resource sectors where the investor is able to obtain actual control over the target company. Given the strategic importance of critical minerals for national resource security and industrial supply chain, investments in this sector are likely to fall within the scope of security review.

With respect to outbound investment, China subjects overseas mergers and acquisitions undertaken by Chinese enterprises in ‘sensitive countries or regions’ and ‘sensitive industries’ to a layered review process administered primarily by the NDRC and MOFCOM. This framework does not take the form of a standalone outbound investment security review statute, but instead, operates through a combination of project-level approval or filing requirements and policy-based assessments embedded in China’s outbound investment regulatory regime.[166]

Unlike the EU decentralized, but European Commission coordinated, screening framework, China’s approach places greater emphasis on centralized administrative assessment and policy-based considerations. The inclusion of critical minerals within the scope of security review for foreign investments often depends on their designation as strategically important or security-sensitive, a determination that is shaped by evolving policy priorities rather than detailed statutory criteria. While this approach affords regulators considerable flexibility in responding to perceived risks, it also limits the predictability of screening outcomes and offers comparatively narrow avenues for administrative or judicial challenge[167], thereby raising concerns regarding legal certainty for foreign investors.

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164 The latest Special Administrative Measures (Negative List) for Foreign Investment Access (2024 Edition). For an English version text, see Beijing Investment Promotion Bureau <https://invest.beijing.gov.cn/english/Choose/Policies/202410/t20241024_3927463.html>.

165 Measures for the Security Review of Foreign Investment, Decree No. 37 of the NDRC and the MOFCOM, promulgated on December 19, 2020, and effective as of 18 January 2021 <https://www.mofcom.gov.cn/dl/file/20211203230801.pdf>.

166 For the specific arrangements of China’s outbound investment screening regime, see Juan Du, Xueliang Ji, ‘Assessing the Outward Foreign Investment Regulatory Regime in China: A Unified Outward Foreign Investment Law on the Horizon?’ (2025) 33 Asia Pacific Law Review 125, 129-130.

167 The Foreign Investment Law stipulates that a security review decision made in accordance with the law shall be final. This provision is widely regarded as excluding any administrative or judicial remedies. See Foreign Investment Law, adopted at the Second Session of the Thirteenth National People’s Congress on 15 March 2019, Article 35 ; U.S. Department of State, ‘2024 Investment Climate Statements: China’

In summary, regarding the regulation of investments relating to critical minerals, the EU and China respond in different ways to a common problem, i.e., how to maintain effective regulatory control over investments in sensitive sectors while staying within the limits set by international investment law. In both systems, investment screening and ESG-related measures mainly operate at the stage of investment entry or market access, which is only weakly, if at all, regulated by most IIAs. As a result, legal disputes are less likely to arise from the refusal of market access itself than from the way in which investment screening and regulatory decisions are made and applied once investment protections are triggered.

CONCLUSION：TOWARDS MODEST NORMATIVE COORDINATION

The governance of critical minerals by the EU and China reflects fundamentally different domestic regulatory approaches. While the EU's approach emphasizes diversification, sustainability and supply-chain resilience through unilateral and ESG-related market instruments, China, by contrast, prioritizes security and state control via access restrictions and centralized oversight. These differences generate legal and normative divergence when translated into concrete regulatory measures. Under WTO law, both approaches face potential consistency issues. For China's export controls, there is limited justification space under the exemptions or exceptions under the GATT 1994, while the EU's sustainability-related measures will be challenged as WTO-inconsistent when they constitute trade restrictions. In the investment field, the scope for treaty-based challenges is more limited. Most IIAs between China and EU Member States protect investments only after their establishment and do not confer general rights of market access. Measures affecting the admission of investment in critical minerals are therefore unlikely to be directly constrained by existing IIAs, unless they also impair investments that have already been admitted or established.

These regulatory frictions point to a deeper tendency toward the 'securitization' of international economic law. As both the EU and China increasingly integrate national security or environmental sustainability or both into their trade and investment regimes, the traditional boundary between sovereign prerogative and international obligation becomes blurred. As a result, global supply chains in critical minerals become more exposed to regulatory fragmentation and geopolitical volatility. In this sense, the governance of critical minerals in a multipolar world illustrates the growing challenge facing international economic law, namely, how to adapt to a world where 'security' and 'sustainability' are no longer mere exceptions to the rules, but instead appear to be evolving into rules themselves.

<https://www.state.gov/reports/2024-investment-climate-statements/china>.

Beyond the bilateral dynamic between the EU and China, global governance of critical mineral is increasingly shaped by US-led initiatives, most notably the recent Forum on Resource Geostrategic Engagement (FORGE), which has emerged as a successor to the Minerals Security Partnership (MSP).[168] By convening more than fifty countries and the European Union, FORGE is designed to scale up public and private investment in critical minerals supply chains.[169] This development reflects a broader shift toward club-based mechanisms in critical mineral governance, as major powers are turning to flexible, interest-oriented coalitions to secure supply-chain resilience and reduce strategic dependency. In this evolving landscape, EU-China regulatory interaction no longer unfolds in isolation but within a wider process of coalition-driven restructuring of market access and investment flows.

It is precisely under these conditions that the risk of strategic miscalculation becomes more acute. Sustained confrontation or unilateral regulatory decoupling would undermine the interests of both the EU and China. If current trends persist, they are likely to contribute to further legal uncertainty and compliance costs for companies, weakened mutual trust, and greater instability in critical mineral supply chains. In this context, the core question is whether the EU and China can manage their regulatory interaction in a way that reduces unnecessary legal and political friction. Perhaps the most pragmatic path forward for EU–China critical minerals governance lies in a gradual and incremental model of coordination. Such an approach could build on existing bilateral dialogue mechanisms[170] as regular forums for information exchange and discussion of regulatory developments. These include the EU-China High-Level Economic and Trade Dialogue (HED), the EU-China High-Level Environment and Climate Dialogue (HECD) and the Annual EU-China Summit. Although the existing dialogue mechanisms have not fundamentally resolved normative divergences, they can serve as platforms for transparency, regulatory clarification and confidence-building. This approach could also draw on the EU's and China's shared commitments under the WTO framework, where enhanced transparency for trade-related measures affecting critical minerals may represents a practical avenue for cooperation.[171] In addition, given current geopolitical tensions, the likelihood of treaty-level rule convergence is limited, but 'soft law' mechanisms offer a flexible, pragmatic and politically acceptable alternative for cooperation. The EU and China could, for

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168 U.S. Department of State, '2026 Critical Minerals Ministerial', Fact Sheet (4 February 2026), n 60.

169 Mike Froman, 'Critical minerals and coalitions of the willing' (7 February 2026) <https://www.linkedin.com/pulse/critical-minerals-coalitions-willing-council-on-foreign-relations-rwwfe/>.

170 China: EU trade relations with China, Facts, figures and latest developments, European Commission-Tade and Economic Security <https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/china_en>; Also see Lailuma Sadid, 'EU refuses key trade talks with China over slow progress', Brussels Morning Newspaper (17 June 2025) <https://brusselsmorning.com/eu-refuses-key-trade-talks-with-china-over-slow-progress/74542/>.

171 The transparency-related databases and cooperative initiatives on critical minerals/raw materials promoted in recent years by the WTO and the Asian Development Bank (ADB) indicate that transparency is regarded as a practical tool for addressing policy conflicts over critical minerals. See WTO, 'New database on critical minerals trade launched to support clean energy transition' (18 December 2024) <https://www.wto.org/english/news_e/news24_e/envir_18dec24_e.htm>.

example, explore the development of sector-specific soft law arrangements, such as a joint Code of Conduct for Strategic Mineral Investment, to facilitate cooperation in defined areas, beginning with less sensitive technical issues such as recycling or supply-chain traceability and extending only gradually toward more contested regulatory issues.[172]

The strength of this approach is its focus on institutional alignment rather than mandatory harmonization. It allows for interconnected governance without compromising either party's regulatory sovereignty. If sustained over time, such limited and procedural forms of cooperation could help stabilize EU–China interaction in a sector defined by deep normative divergence. More broadly, these forms of cooperation may serve as practical examples of how to address similar tensions at the intersection of trade, investment and sustainability in an increasingly multipolar economic order.

[172] For example, the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals serves as a soft law framework adopted by governments and enterprises to enhance transparency and ensure environmental and human rights due diligence in mineral supply chains. See OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas (Third Edition), OECD Publishing, Paris (2016) <http://dx.doi.org/10.1787/9789264252479-en>.